IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No301

CA(CAA)/56(AHM)2022

Proceedings under Section 230-232 of Co. Act, 2013

IN THE MATTER OF:

Gemu Valves India Pvt Ltd **.....Applicant**
(Transferee Company)

Order delivered on 19/05/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

PRESENT:

For the Applicant : Advocate Ms. Dharmishta N. Raval

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

Sd/- Sd/-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
COURT-II

CA(CAA) No.56/NCLT/AHM/2022

[Section 230-232 and read with Section 234 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

In the matter of Scheme of Merger

GEMU GEBR MUELLER APPARATEBAU GMBH & CO. KG

(Non-Applicant/Transferor Company)

WITH

GEMU VALVES INDIA PRIVATE LIMITED

(Applicant Company/Transferee Company)

AND

Their respective shareholders and Creditors

Order Pronounced on:19/05/2023

CORAM:

Mr. Shammi Khan, Hon'ble Member (Judicial)

Mr. Ajai Das Mehrotra, Hon'ble Member (Technical)

MEMO OF PARTIES

GEMU GEBR MUELLER
APPARATEBAU GMBH & CO., KG,
a company (limited partnership),
incorporated under the law of
Germany and having the
Registered office at Fritz-Mueller-
Strasse 6-8, D-74653, Ingelfingen-74653. **... Non-Applicant**

Transferor Company

With

GEMU VALVES INDIA PRIVATE LIMITED,
(CIN: U74999GJ2021PTC122989)
a Company incorporated under the
provisions of Companies Act, 1956,
having its registered office at
101 & 104 "637" Panchwati Second Lane,
Gulbai Tekra, Ellisbridge,
Ahmedabad, Gujarat– 380006 **... Applicant**
Transferee Company

For the Applicant: Ms. Dharmishta N. Raval, Advocate

O R D E R

1. The present application is filed by GEMU VALVES INDIA PRIVATE LIMITED (hereinafter referred to as "Transferee Company") under Section 230-232 and 234 of the Companies Act, 2013 (hereinafter referred to as "the Act") read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016 (hereinafter referred to as "Companies (CAA) Rules, 2016"). By this application, the

Applicant Transferee Company is seeking dispensation of the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Transferee Company in respect of Scheme of Amalgamation of **GEMU GEBR MUELLER APPARATEBAU GMBH & CO. KG** (hereinafter referred to as "Transferor Company") with **GEMU VALVES INDIA PRIVATE LIMITED** ("Transferee Company") and their respective shareholders.

2. It is submitted that the Non- Applicant Transferor Company is a company (limited partnership) incorporated under the laws of Germany having its registered address at Fritz-Mueller Strasse 6-8, D-74653, Ingelfingen-74653.

3. The Transferor Company is engaged in the business of manufacture and distribution of technical appliances and consumables. The Transferor Company has also obtained permission from the Reserve Bank of India under the provisions of the Foreign Exchange Management Act ("**FEMA**") for establishing a branch office in India and accordingly, it has established a branch office in India.

4. The Transferee Company is situated within the territorial jurisdiction of the Registrar of Companies, Ahmedabad, Gujarat, which is falling under the jurisdiction of this Tribunal. The Transferee Company is a private limited company having been incorporated with an object to carry on business of manufacturing and dealing in all kinds of valves and control systems, etc. The Board of Directors of the Non-Applicant Transferor Company and the Transferee Company have both passed resolution dated 30.06.2022 and 10.06.2022 respectively approving the Scheme of Arrangement involving the transfer of business of undertaking of the Transferor Company carried out through its branch office in India as a going concern.

5. A valuation report dated 08.06.2022 filed by AAA Valuation Professionals LLP registered Valuer Entity with respect to the fair market value of the undertaking of the Non-Applicant Transferor Company carried out through branch office in India, has also been placed on record alongwith the present application. Upon transfer and vesting Business Undertaking of Transferor Company in relation to Indian Branch Operation with Transferee Company by way of

Slump Sale as defined under the provisions of Section 2(42C) of the Indian Income Tax Act, the Transferee Company shall pay a consideration of INR 9,85,00,000 (Rupees Nine Crore Eighty Five Lakhs only). The Scheme would not have any material effect on Equity shareholders, promoters and non-promoters shareholders of the Company.

6. It is submitted in the said application that there are no investigations or proceedings pending against the Applicant Transferee Company under Section 210 to 226 of the Companies Act, 2013 as well as Sections 235 to 251 of the Companies Act, 1956.

7. It is also submitted that the provisions of the Competition Act are not applicable in the facts of the present case.

8. With respect to the Transferee Company, it is stated that –

   (a) There are two equity shareholders in the Transferee Company namely (i) Gemu Holding GmbH & Co. KG (ii) GEMU Holding AG. Certificate of Chartered Accountant certifying the list of shareholders is

annexed with the application. Both the equity shareholders have given their consent by way of affidavits for the proposed scheme of Amalgamation. The consent affidavits of both the equity shareholders are annexed with the application. Hence, the Applicant Transferee Company is seeking dispensation for holding the meeting of the equity shareholders.

(b) There are no secured creditors in the Transferee Company. A certificate from the Chartered Accountant certifying NIL secured creditors is annexed with the application. Therefore, no meeting of the secured creditors is required to be convened.

(c) There are no unsecured creditors in the Transferee Company. A certificate from the Chartered Accountant certifying NIL unsecured creditors is annexed with the application. Therefore, no meeting of the unsecured creditors is required to be convened.

9. In the Scheme of Amalgamation, which is annexed with the application, the rationale for the scheme stated is that the

Transferor Company, which is operating through a branch office structure, proposes to transfer the business undertaking carried out through its branch office, through the Transferee Company. The appointed date, as specified in the Scheme, is 01.04.2022 or such other date as the Tribunal may direct.

10. It was initially submitted on behalf of the Applicant Company that the prior approval of Reserve Bank of India would be required and hence, this Tribunal had issued notice to the Reserve Bank of India vide order dated 13.10.2022. Subsequently, an additional affidavit is filed physically on 15.03.2023, wherein it is submitted that considering the provisions of Foreign Exchange Management (Cross Border Merger) Regulations, 2018, the Transferee Company will qualify for deemed approval as mentioned under Regulation 9 of the Cross Border Merger Regulations and hence prior approval of Reserve Bank of India will not be required.

11. Taking into consideration the submissions and the documents filed therewith, we issue the following directions:

(i) **In relation to Transferee Company:**

(a) **With respect to equity shareholders:**

Convening of the meeting of equity shareholders is hereby dispensed with in view of 100% consent received by way of affidavits from shareholders.

(b) **With respect to secured creditors:**

As there are no secured creditors in the Company, convening of the meeting of secured creditors is obviated.

(c) **With respect to unsecured creditors:**

As there are no unsecured creditors in the Company, convening of the meeting of unsecured creditors is obviated.

12. Further, in compliance of sub-Section (5) of Section 230 and Rule 8 of the Companies (CAA) Rules, 2016, the Applicant Transferee Company shall send a notice in Form No.CAA.3 to (i) the Central Government through Regional Director, North-Western Region, (ii) the Registrar of Companies, Gujarat, (iii) Reserve Bank of India, (iv) the Income Tax Authorities concerned, stating that representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed scheme. The said notices shall be sent forthwith

by registered post or by speed post or by courier or by hand delivery or by an email at the office of the authority as required under sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representation, under sub-section (5) of Section 230, shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which it will be deemed that they have no representation to make on the proposed arrangement.

13. The Company Application is allowed and disposed of accordingly.

SD/-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

SD/-

SHAMMI KHAN
MEMBER (JUDICIAL)

Vaishali PS/Shweta LRA